
UNIT 1 A SCHEME FOR PROMOTION OF INNOVATION, RURAL INDUSTRIES AND ENTREPRENEURSHIP - ASPIRE

Structure

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1.0 OBJECTIVES

After studying this unit, you should be able to:

- analyse and debate the rationale behind ASPIRE;
- identify the various components of ASPIRE;
- elucidate the role that LBIs and TBIs play in encouraging entrepreneurial endeavours in the agro and rural sectors;
- discuss the financial assistance available under ASPIRE; and
- discuss the role of SIDBI in management of fund of funds under ASPIRE.

1.1 INTRODUCTION

Even in modern times in India, the agricultural sector is the primary source of income for the vast majority of the country. Here poverty and chronic unemployment are still major problem, despite the fact that the government has launched a variety of innovative programmes to combat these issues. In order to fight this problem, the government has initiated a programme called ASPIRE,

which stands for A Scheme for Promotion of Innovation, Rural Industries, and Entrepreneurship. The scheme was launched on March 16, 2015.

The Ministry of Micro, Small, and Medium Enterprises in India is in charge of promoting the scheme. On October 21, 2021, a meeting of the Standing Finance Committee (SFC) for ASPIRE was conducted under the chairmanship of the Secretary of the Ministry of Micro, Small and Medium Enterprises to approve the Scheme for the period 2021-22 to 2025-26, with a proposed corpus of Rs. 196.47 Crore.

The programme was initiated with the intention of establishing a network of technological centres, as well as establishing incubation centres, with the goals of fostering innovation and start-ups in the agricultural sector.

There are two components of the ASPIRE scheme:

- i. Livelihood Business Incubators (LBI)
- ii. SIDBI Fund of Funds
- iii. Technology Business Incubators (TBI) – This has been discontinued due to convergence with the Incubation Scheme

During the course of this unit, you will gain an in-depth understanding of these two components of the ASPIRE.

1.2 LIVELIHOOD BUSINESS INCUBATOR (LBI)

The Livelihood Business Incubator (LBI) is an organisation that was founded with the intention of delivering training and support in the form of skill development and incubation to people and enterprises that are largely engaged in the agricultural industry. With a focus on rural and disadvantaged communities as a primary target, the mission is to build a culture of innovation and entrepreneurship, as well as offer employment possibilities for residents of those areas.

1.2.1 Objectives of LBI

The following bullet points will help you comprehend LBI's objectives:



•Facilitate the creation of scalable micro-enterprises to generate employment opportunities.



•Offer skills training, upskilling, and reskilling in new technologies for the unemployed and current workers.



•Provide skilled workers to local industrial clusters and promote innovations to boost MSME sector competitiveness.

1.2.2 Functions of LBI

The following is a list of some of the most important functions that are performed by Livelihood Business Incubators:

- Organize outreach campaigns to inform people about the project and welcome potential beneficiaries.
- Create and oversee incubation workshops to aid in the establishment of new micro businesses.
- Offer support services like trademarks, finance, legal, product design, accreditation, and compliance.
- Provide advice services to assist already-existing, unofficial businesses in formalizing and growing.
- Partnering with financial institutions and utilizing government schemes, make it easier for micro-entrepreneurs to get capital.
- By using plants and machinery to mimic industrial processes, you may give hands-on training.
- Partner with regional organizations engaged in upstream and downstream operations to establish a favourable environment for entrepreneurship and job creation.
- Make space for creating product prototypes at the Livelihood Business Incubation Centre available.

1.2.3 Who can submit a proposal to set up an LBI?

The following entities might be eligible to establish an LBI:

- i. Any department or agency of the Indian or state governments, as well as academic institutions, business associations, and currently operating training facilities housed under different Ministries or Departments.
- ii. Non-profit private organizations that have experience establishing skill development or incubation programs may also be qualified to establish an LBI.

The applicant/host organization will select a Mentor Institute (MI) and upload the proposal through the selected Mentor Institute as per the prescribed format online at www.aspire.msme.gov.in.

1.2.4 Institutional Framework

With the growing network of LBIs and the expanded scope thereof, the following scheme management structure will be followed.

i. Scheme Steering Committee (SSC)

A Scheme Steering Committee (SSC) is constituted under the chairpersonship of Secretary (MSME). The SSC may consist of representatives from other Central Ministries under the Government of India, or expert organizations as members! special invitees, depending on the functional needs. Scheme

Steering Committee is responsible for coordination, overall policy and management support. The applications received for setting up of LBIs is forwarded to the Scheme Steering Committee (SSC). The SSC will consider the proposals of the Host/Applicant Institutions for setting up of Livelihood Business Incubator (LBI), submitted through mentor Institutes (MIs), and shall extend approval based on satisfying all the parameters set up by the SSC.

ii. Mentor Institutes (MI)

Mentor Institutes (MIs) are national or state-level institutions with significant expertise and hands-on experience in key rural industry sub-sectors. They have a proven track record of at least five years in designing and delivering incubation and skill development programs to promote entrepreneurship. MIs will support and guide the applicant or host institutes and LBIs in their daily operations and serve as a single point of contact (SPOC) between the Ministry and the Host Institute/LBI. These institutions can be:

- A Society registered under the Societies Registration Act, 1860.
- A Co-operative Society under the appropriate statute.
- A Section 8 Company under the Companies Act, 2013.
- A Trust.
- Any Central or State government organization.
- Any other agency approved by the Scheme Steering Committee of ASPIRE.

Role of Mentor Institutes (MIs)

1. Identify prospective LBIs with relevant experience in skill development and running incubation programs that align with local needs.
2. Collaborate with local MSME-DIs and Science and Technology Council members to identify suitable proposals.
3. Assist Applicant/Host Institutes in preparing Detailed Project Reports (DPRs) based on regional industrial analysis, skill gaps, and economic strengths.
4. Ensure DPRs are created according to scheme guidelines, uploaded to the portal, and meet all requirements before submitting them to the MoMSME for approval.
5. Verify the format and completeness of the DPRs.
6. Execute agreements on contributions for eligible private applicants.
7. Ensure availability of necessary compliance documents and space (5000 sq ft) for setting up the proposed LBIs.
8. Oversee the timely disbursement of funds to Host Institutes (HIs) and ensure submission of audited Utilization Certificates (UCs).
9. Provide technical input for selecting machinery and ensure timely procurement.

10. Assist HIs in hiring a dedicated and specialized team to operate the LBIs.
11. Conduct regular capacity-building workshops to improve LBI operations and performance.
12. Help HIs design effective incubation programs to be implemented by the proposed LBIs.
13. Maintain and share a database of incubatees with the MoMSME.
14. Foster an ecosystem for LBIs that supports micro-enterprise creation.
15. Monitor and evaluate LBI performance against targets through virtual and physical visits, advising on course corrections.
16. Act as a single point of contact (SPOC) for grievance redressal for the LBIs.
17. Ensure regular sharing of Monthly and Quarterly Progress Reports with the MoMSME, along with any other requested information.
18. Create and update a platform for recording and sharing best practices among LBIs.
19. Develop a platform to converge various GoI/State Government schemes to facilitate micro-enterprise creation and employment generation.
20. Provide all necessary support for the scheme's implementation by the HIs.
21. Act diligently to ensure compliance with all rules and regulations for obtaining final approval from the Scheme Steering Committee (SSC).
22. Perform any additional tasks assigned by the MoMSME.

iii. Host Institutes (HI)

Host Institutes are eligible applicant institutions where the LBIs will be hosted upon SSC approval. They must conduct a regional analysis by studying the industrial landscape, economic strengths, and identifying potential skill gaps to select a thrust area for the proposed LBI. The preparation of the Detailed Project Report (DPR) for the proposed LBI should follow the format provided in the guidelines, with assistance from Mentor Institutes.

Host Institutes must ensure timely procurement of plant and machinery as per the LBI proposal and recruit dedicated human resources for LBI operations. They should conduct outreach programs to mobilize incubatees and maintain a detailed database tracking incubatees from on boarding to employment.

Creating and maintaining working relationships with stakeholders such as nearby academic institutions, industries, successful entrepreneurs, financial institutions, vendors, and suppliers is essential. Host Institutes should also seek convergence with various GoI, State Government, and other schemes to facilitate the creation of micro-enterprises and employment generation.

The operation and maintenance (O&M) of assets created under the project, furnishing Utilization Certificates (UCs) as per GFR norms, and sharing monthly and quarterly progress reports with the respective Mentor Institute are also the responsibilities of Host Institutes.

1.2.5 Release of Funds

The project cost of an LBI encompasses expenses for both procurement of plant and machinery and Operational Expenditure (Opex). Upon submission of requisite documents, LBIs forward a request to MI, which then submits a proposal to MoMSME for fund release. Mentor Institutes receive a 5% Administrative Fee for new LBIs. Prior to fund disbursement, MI executes an agreement with the LBI and establishes a dedicated bank account for ASPIRE grants, subject to audit. Funds are disbursed to MI for procurement, Opex, and Mentor Institute fees as per the approved Annual Action Plan (AAP) of LBIs.

Release of Funds to MI

1. Release of funds for Procurement for plant & machinery to MI

- 1st instalment: 50% of approved amount released after SSC approval of incubation centre.
- 2nd instalment: 50% released after 2/3rd utilization of 1st instalment and submission of Utilization Certificate (UC).

2. Release of Operational Expenditure (Opex) to MI

- 1st Instalment: 40% released after Host Institute places order for plant and machinery.
- 2nd Instalment: 30% released upon production of progress report and UC for 2/3rd of 1st instalment.
- 3rd Instalment: Remaining 30% released upon production of progress report and UC for 100% of 1st instalment and 2/3rd of 2nd instalment.

3. Release of Mentor Institute Fees

- 50% released after LBI approval by SSC.
- Remaining 50% released post-initiation of incubation/training by LBIs.
- For existing LBIs, fees released as per operational expenditure on a pro-rata basis.

4. Release of Funds to the Livelihood Business Incubator (LBI)

- Documents submitted to MI.
- Upon receipt of funds from MoMSME, MI issues sanction order for fund release.
- LBIs should open dedicated bank accounts for ASPIRE grants, subject to audit.

Release of Funds to LBI

1. Release of fund for Procurement of Plant & Machineries to LBI/MI

- 1st instalment: 50% released upon SSC approval.
- 2nd instalment: Remaining 50% released after 2/3rd utilization of 1st instalment and UC submission.

2. Release of Operational Expenditure (Opex) to LBI

- 1st Instalment: 40% released after order placement for plant and machinery.
- 2nd Instalment: 30% released upon UC production for 70% of 1st instalment utilization.
- 3rd Instalment: Remaining 30% released upon UC production for 100% of 1st instalment and 2/3rd of 2nd instalment utilization.

3. Release of Operational Expenditure (Opex) to Existing LBIs

- Eligible existing LBIs supported with Opex based on output-outcome deliverables, with criteria formulated and approved by SSC.

1.2.6 Monitoring and Evaluation of LBIs

- I. A dedicated working committee, led by the Head of the Host Institution, will be established once the LBI is operational. This committee will oversee and assess the LBI's performance, crafting an effective operational strategy to achieve the scheme's goals. Meeting quarterly, they'll compile an assessment report with recommendations sent to the MI for consolidation and quarterly reporting to the Ministry. The committee includes:
 - Head of the Host Institute
 - LBI Coordinator
 - LBI Manager
 - Representative of Mentor Institute
 - Representative(s) of Local Industry
 - Representative of Financial Institution
 - Representative of local MSME-DI.
- II. Mentor Institutes will devise a framework, approved by MoMSME, for periodic review. Alongside uploading Monthly Progress Reports to the ASPIRE portal, they'll monitor progress through field visits, video conferencing, and other ICT tools.
- III. Ministry of MSME officers will make regular visits to LBIs to evaluate progress and performance.
- IV. Evaluation of the Scheme: Third-party agencies will be engaged for mid-term evaluations of LBIs to pinpoint shortcomings and recommend improvements through field visits.

1.3 FUND OF FUNDS TO BE MANAGED BY SIDBI

The Small Industries Development Bank of India (SIDBI) supports Angel funds, Impact Funds, Challenge Funds, and other Venture capital funds through its innovative instruments like Equity, Quasi-Equity, and mezzanine debt. These funds focus on adding value to the rural economy and creating jobs through

social impact funding. SIDBI's support enables innovative ideas to flourish and helps convert them into commercial enterprises within a specific timeframe.

1. **The ASPIRE Fund** of Funds under SIDBI, initially at INR 60 Cr, has been augmented to INR 310 Cr. This fund targets knowledge initiatives in the agro-rural sector, fostering innovation and entrepreneurship for technology and business enterprise development.
2. **Purpose:** The Fund of Funds aims to contribute to Impact/Venture Capital Funds for investing in early-stage MSME enterprises and Start-ups in the agro-rural sector. It promotes innovation, entrepreneurship, and forward-backward linkages in manufacturing and service delivery chains. The funds support the scaling up of MSMEs/tech & non-tech Start-ups in the agro-rural sector, aiding in manufacturing improvement, technology adoption, market penetration, and diversification.
3. **Eligibility Criteria of Venture Capital Funds:** a. The funds must be Category I & II Alternative Investment Funds (AIF) registered with SEBI. b. AIFs should invest at least twice the ASPIRE Fund contribution in Start-ups/early-stage MSMEs, with a focus on agro and rural enterprises. c. AIFs should endeavour to invest in a minimum of 5 enterprises. d. The Fund Manager/team should have prior experience in Fund management or investment.
4. **Management Fee:**
 - A one-time management fee of 0.5% of the fund size is payable to SIDBI.
 - The annual fee for administering the fund is 0.2% of the fund size, payable for 6 years or the extended period as approved.
5. **Process:**
 - Selection involves a two-stage process: Preliminary Screening and Detailed Due Diligence.
 - The Venture Capital Investment Committee (VCIC) conducts the preliminary screening, and the Executive Committee of the Board sanctions the detailed due diligence.
6. **Size of Investment:**
 - Investment to a VCF out of ASPIRE Fund shall be up to a maximum of Rs. 30 crore, not exceeding 25% of the total VCF size.
7. **Monitoring:**
 - VCFs are monitored annually by SIDBI, with quarterly reports on ASPIRE Fund utilization.
 - An annual report on fund utilization and investment details is submitted to the Ministry.
 - Regular interactions between AIFs and Livelihood Business Incubators are maintained.

8. Others:

- VCFs sanctioned by SIDBI till the date of these guidelines are eligible for ASPIRE Fund coverage, subject to meeting criteria.
- Such proposals will be sanctioned by designated SIDBI officers, following existing SIDBI guidelines, up to 50% of SIDBI's commitment, with a maximum of Rs. 30 crores from ASPIRE Fund, not exceeding 25% of the VCF size.

Check Your Progress

Fill in the Blanks:

- ASPIRE was launched in the year_____.
- SIDBI stands for _____.
- The Livelihood Incubator fosters the growth of _____based enterprises.
- The mentor institute administrative fees will be _____% of the project cost of LBIs.
- A _____is constituted under the chairpersonship of Secretary of M/o MSME.

1.4 LET US SUM UP

Even in the modern era, the agricultural sector in India continues to serve as the primary source of income for the country. In spite of the fact that the government has implemented a number of creative programmes designed to address these challenges, poverty and persistent unemployment continue to be major problems in the region. The government has begun a programme that goes by the name ASPIRE, which stands for A Scheme for Promotion of Innovation, Rural Industries, and Entrepreneurship. This programme is an effort to combat the issue that has been identified. The plan was initially introduced on March 16th, 2015.

The ASPIRE scheme is comprised of two different components:

- Livelihood Business Incubators (LBI)
- SIDBI Fund of Funds

The Livelihood Incubator fosters the growth of low-end technology-based businesses at the local level in rural areas and gives those businesses the ability to thrive. This helps to increase the number of jobs available and eliminate unemployment. On the other hand, Technology Business Incubators are responsible for the development of cutting-edge or technologically based businesses within the agricultural sector. The Technology Business Incubator (TBI) component of the ASPIRE scheme has been eliminated because it converged with the Incubation scheme and became redundant.

The following are the components that will make up an LBI's project cost:

- i. Expenditure for procurement of plant and machineries
- ii. Operational Expenditure (also called Opex)
- iii. Mentor Institute Administrative Fees

The ASPIRE Scheme's final significant component is the Small Industries Development Bank of India (SIDBI). In order to assist a wide range of alternative investment funds, the Ministry of Micro, Small, and Medium Enterprises has delegated to SIDBI the responsibility of managing the ASPIRE Fund. SIDBI provides financial assistance to AIFs which in turn, would invest twice as much as SIDBI's contribution in a wide range of Micro, Small, and Medium Enterprises (MSME), as well as start-ups, operating in the rural and agricultural industries.

1.5 KEYWORDS

A Scheme for Promotion of Innovation, Rural Industries and Entrepreneurship: ASPIRE was initiated to establish a system of incubation facilities and technology hubs with the aim of fostering entrepreneurship all over India. The initiative's stated goal is to support the launch of new businesses that will revolutionise the agricultural and rural sector.

Alternative Investment Funds: There are many different types of financial instruments available to investors, but an alternative investment fund (AIF) is a unique subset. It is a private fund that is pooled together.

Livelihood Business Incubator: LBIs are entities which incubates low end technology enterprises and start-ups under MSMEs category to foster entrepreneurial culture in agro and rural sectors.

Small Development Bank of India: In accordance with an Act of the Indian Parliament, the Small Industries Development Bank of India (SIDBI) was established on April 2, 1990. It serves as the Principal Financial Institution for the Promotion, Funding, and development of the MSME sector.

1.6 ANSWERS TO CHECK YOUR PROGRESS

Check Your Progress

- i. 2015
- ii. Small Development Bank of India
- iii. Low end technology
- iv. 5
- v. Scheme Steering Committee (SSC)

1.7 TERMINAL QUESTIONS

1. Discuss the importance of the ASPIRE programme to the growth of the

agrarian and rural economy.

2. Write short notes on LBIs
3. “SIDBI is the primary financial institution that provides support for the promotion, funding, and development of the Micro, Small, and Medium-Sized Enterprise (MSME) sector.” Elaborate.
4. Describe the qualifications required to be eligible for alternative investment funds as well as the selection process.
5. Describe the funding assistance provided under ASPIRE to LBIs.
6. What are the goals of the Livelihood Business Incubator and the functions that it performs?

**A Scheme for
Promotion of
Innovation, Rural
Industries and
Entrepreneurship -
Aspire**

1.8 FURTHER READINGS

1. Ministry of MSME (2023), Revised Operational Guidelines for ASPIRE. https://aspire.msme.gov.in/WriteReadData/DocumentFile/ASPIRE_New_21112023.pdf
2. Ministry of MSME (2015), Scheme for Promotion of Innovation, Entrepreneurship and Agro-Industry. <https://www.mofpi.gov.in/sites/default/files/MSME-ASPIRE-FINALBOOK.pdf>
3. ASPIRE Home. <https://aspire.msme.gov.in/ASPIRE/AFHome.aspx>
4. ASPIRE. <https://www.sidbivcf.in/en/funds/aspire-fund-af>